OCAD - ONE COMPANY A DAY

SERIES: SOFTWARE

Salesforce, Inc.

CRM | NYSE

USD 240.89 per share

Closing price, Tuesday 27 October 2026, latest completed trading day



CRM daily closing price, 29 July 2026 to 27 October 2026, USD per share. Source: Alpha Vantage daily price series.

REPORT DATE	ANALYST	SERIES	EXCHANGE
28 October 2026	Arthur Faugeron	Software	NYSE

Executive Summary

Salesforce is the largest enterprise customer relationship management vendor, now converting a 25-year subscription franchise into an artificial intelligence agent platform while moving from a net cash balance sheet to net debt to fund the largest buyback in its history. At USD 240.89 the shares trade at about 13 times trailing free cash flow, after a 22.6% one-day gain on 27 August 2026 that followed second quarter results.

Business

Salesforce sells cloud subscriptions for sales, service, marketing, commerce, data integration and analytics, and a development platform that now carries its Agentforce AI agents. Subscription and support revenue was USD 39.4bn of USD 41.5bn in fiscal 2026 (year ended 31 January 2026), with 65% of revenue from the Americas, 24% from Europe and 10% from Asia Pacific; customers are mainly large and mid-sized enterprises on multi-year contracts.

Financial Condition

Fiscal 2026 revenue grew 9.6% to USD 41.5bn with a GAAP operating margin of 20.1% (non-GAAP 34.1%), net income of USD 7.5bn, operating cash flow of USD 15.0bn and free cash flow of USD 14.4bn. By 31 July 2026 total debt had risen to USD 39.3bn against USD 11.4bn of cash and marketable securities, so net debt (excluding leases) is about USD 27.9bn or 2.2 times trailing EBITDA.

Market Position

Main rivals are Microsoft Dynamics, SAP, Oracle, ServiceNow, Workday, Adobe and HubSpot, plus AI-native entrants. The advantage is an installed base and data integration estate that is expensive to replace; the weakness is slowing organic growth of roughly 8 percent and the risk that AI agents reduce per-seat pricing.

Valuation

Market capitalization is about USD 198bn and enterprise value about USD 226bn on the calculation in this report. Trailing multiples are 22.1 times earnings per share (GAAP, inflated by strategic investment gains), 17.9 times EBITDA, 13.1 times free cash flow and 4.5 times sales; forward earnings multiples are 14.4 times on non-GAAP guidance and 23.5 times on GAAP guidance.

Investment Framework

WHAT IS ATTRACTIVE	Free cash flow margin of 34.7% in fiscal 2026, a 77.7% gross margin, a diluted share count that fell from 962 million to 821 million in a year, and a valuation near the bottom of the report's DCF sensitivity range.
WHAT IS CONCERNING	Organic growth near 8%, stock-based compensation of 8.5% of revenue, goodwill of USD 59.3bn equal to 54% of total assets, and debt that quadrupled in six months.
WHAT MUST GO RIGHT	Agentforce and Data 360 must lift growth back toward low double digits without cannibalizing seat revenue, while free cash flow growth returns after the guided 4 to 5% in fiscal 2027.
WHAT COULD BREAK THE THESIS	Agent-driven seat compression, a failed integration of Informatica, or a refinancing in a weaker credit market.
PRICED IN	A price of USD 241 sits near the lower edge of a DCF grid (USD 245 to USD 407 per share) built on after-stock-compensation free cash flow, which implies low single digit terminal growth and little credit for Agentforce.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High: recurring subscription revenue, 77.7% gross margin, deep customer data embedded in workflows.
Financial quality	Good: cash conversion of 1.9 times net income, but stock-based compensation and strategic gains reduce earnings quality.
Competitive position	Strong in CRM, contested in AI agents and data platforms.
Growth profile	Moderate: 8 to 12% reported growth, about 8% organic.
Balance-sheet risk	Elevated versus history: net debt 2.2 times EBITDA, but serviceable at 4.6 to 8.9 times interest coverage.
Valuation	Undemanding on cash flow, fair to full on GAAP earnings.
Market and technical profile	Rebound from a June low; volatile, 51% annualized over the last 98 sessions; trades above its 50-day and 200-day averages.

Source: analyst assessment based on the figures in sections B and C.

A. About the Business

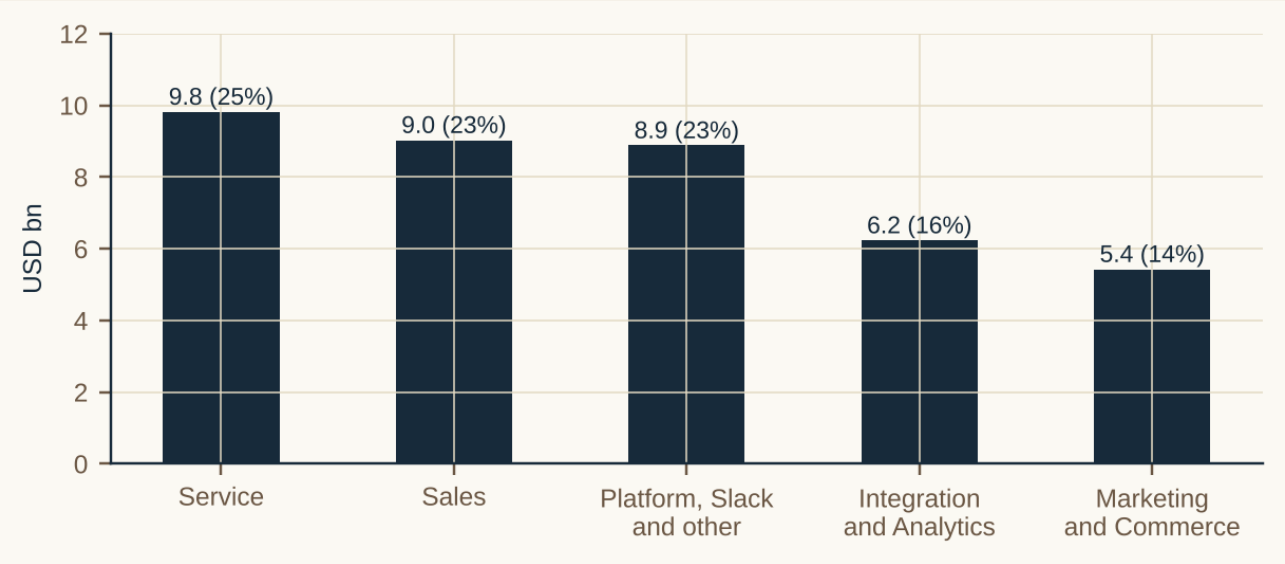
A1. Business Environment

Salesforce operates in enterprise application software, specifically customer relationship management (CRM), and increasingly in data management and enterprise AI. The value chain starts with cloud infrastructure providers (Amazon Web Services, Microsoft Azure, Google Cloud and others) and model providers, passes through application vendors such as Salesforce who own the workflow and customer data, and ends at enterprise buyers and the system integrators that implement the software. Value is captured by whoever owns the system of record: once customer, pipeline and service data live in one vendor, switching requires migrating data, retraining staff and rebuilding integrations.

Industry size was not retrieved from a primary source for this report, so no market-size figure is quoted. The economics are visible instead in Salesforce's own results: a subscription model with a 77.7% gross margin, low capital intensity (capital expenditure of 1.4% of revenue), and a cost pool dominated by sales and marketing (34.5% of revenue) and research and devel-

opment (14.4%). Cyclicality is modest because contracts are annual or multi-year, but seat counts follow customer headcount and new-logo sales follow technology budgets.

Salesforce fiscal 2026 subscription and support revenue by service offering



Source: Salesforce Q4 fiscal 2026 earnings release, year ended 31 January 2026. Units: USD billion and share of USD 39.4bn subscription and support revenue.

INDUSTRY STAGE: MATURE, STRUCTURALLY TRANSFORMING

> CRM is a mature category with consolidated leaders and mid single digit to low double digit growth, but the arrival of generative AI agents is transforming how software is priced and used. The classification is based on Salesforce's reported growth (9.6% in fiscal 2026) and on the vendor shift from per-seat to consumption and agent-based pricing visible in the company's Agentforce disclosures.

A2. What Does the Company Do?

Think of Salesforce as the operating system for a company's relationships with its customers. A sales team logs leads and deals in Sales; a support team resolves cases in Service; marketers run campaigns in Marketing; merchants run online stores in Commerce; the Platform lets customers build their own applications and now hosts AI agents; Slack handles internal communication; and MuleSoft, Tableau and Informatica (acquired in November 2025) connect and analyze the data underneath. Customers pay recurring subscription fees, usually per user per month, with growing consumption-based charges for data and AI.

Revenue is 95% subscription and support (USD 39.4bn in fiscal 2026) and 5% professional services (USD 2.1bn), the latter sold mainly to support implementation. The cost base is large because Salesforce sells through a direct enterprise sales force: sales and marketing consumed USD 14.3bn in fiscal 2026. Unit economics by customer are not disclosed; the company discloses remaining performance obligations (contracted backlog) of USD 66.3bn at 31 July 2026, up 11%.

How one dollar of revenue is used

In fiscal 2026 each dollar of revenue carried 22.3 cents of cost of revenue, 34.5 cents of sales and marketing, 14.4 cents of research and development, 7.2 cents of general and administrative expense and 1.4 cents of restructuring, leaving 20.1 cents of GAAP operating income. Operating cash flow was 36.1 cents because customers pay annually in advance and non-cash charges (depreciation 8.7 cents, stock compensation 8.5 cents) are added back; free cash flow was 34.7 cents. Of that, 30.3 cents was spent on buybacks and 3.8 cents on dividends.

1. CUSTOMER
Large and mid-sized enterprises, governments; 65% Americas

2. PRODUCT AND SERVICE
Sales, Service, Platform and Slack, Marketing and Commerce, Integration and Analytics

3. REVENUE
USD 41.5bn in fiscal 2026: 95% subscription, 5% services

4. COSTS
22.3 cents cost of revenue, 56.1 cents operating expense per dollar

5. OPERATING PROFIT
GAAP margin 20.1%, non-GAAP 34.1%

6. CASH FLOW
Operating cash flow USD 15.0bn, free cash flow USD 14.4bn

7. CAPITAL ALLOCATION
Buybacks USD 12.6bn, dividends USD 1.6bn, acquisitions USD 9.3bn

The economically most important parts are the subscription renewal base (it funds everything), the sales and marketing line (the largest cost and the main lever on margin) and the unearned revenue balance of USD 24.3bn at 31 January 2026, which is customer cash collected ahead of service.

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Cloud infrastructure providers	Public cloud hosting for Salesforce services; Salesforce also operates its own data centres	Hosting cost sits in cost of revenue, which rose to 18.7% of subscription revenue in the second quarter versus 17.0% a year earlier.
Informatica	Acquired November 2025; data integration and management	Contributed USD 456m of revenue in the second quarter of fiscal 2027 and slightly above 3 points of fiscal 2027 growth.
Contentful and Fin	Pending acquisitions announced June 2026, expected to close in the third quarter of fiscal 2027	About USD 200m of revenue is in fiscal 2027 guidance; extends content and customer service AI.
Slack, Tableau, MuleSoft	Owned subsidiaries and brands	Cross-sell paths into the same enterprise customers.
System integrators and AppExchange partners	Implementation and third-party applications	Services revenue is only 5% of sales; partners carry deployment, extending reach.
Strategic investment portfolio	USD 11.3bn at 31 July 2026	Mark-to-market gains of USD 3.2bn in the first half of fiscal 2027 inflated GAAP earnings.
Customers	Enterprises under annual or multi-year contracts; no single customer disclosed as material	Concentration risk is low; renewal rates drive value.
Lenders and noteholders	USD 39.3bn of debt at 31 July 2026	Funded the USD 25bn accelerated share repurchase; interest expense was USD 473m in the second quarter.

Source: Salesforce Q2 fiscal 2027 and Q4 fiscal 2026 earnings releases. Cloud provider names are generic; specific supplier contracts were not retrieved.

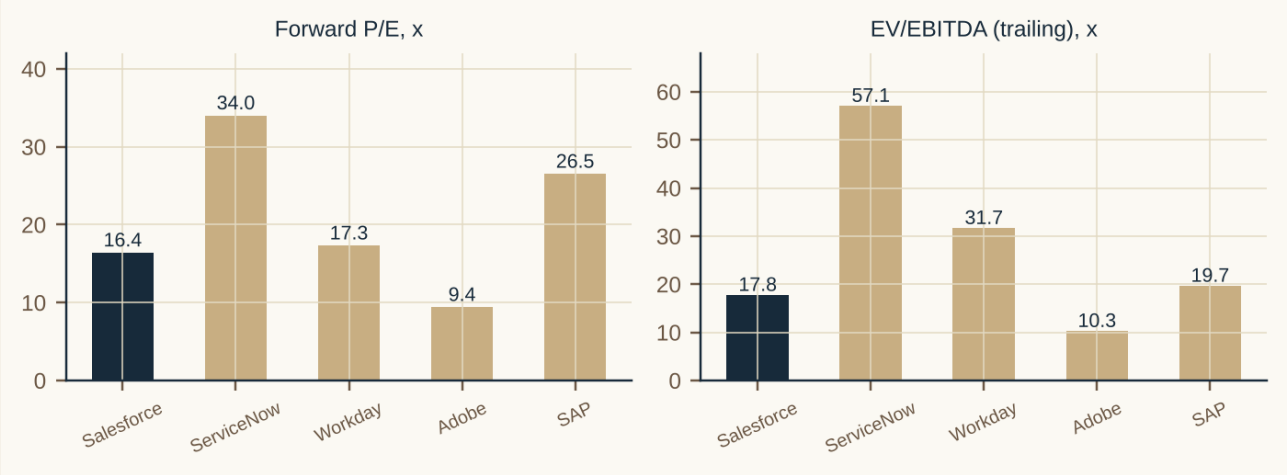
A4. Competition

COMPETITIVE COMPARISON, USD, TRAILING TWELVE MONTHS

Company	Revenue	Op. margin	EV/EBITDA	Fwd P/E	Net debt
Salesforce	43.9bn	19.9%	17.8x	16.4x	31.0bn
SAP	44.7bn	29.1%	19.7x	26.5x	(0.5bn)
Adobe	26.0bn	36.3%	10.3x	9.4x	1.2bn
ServiceNow	14.7bn	12.4%	57.1x	34.0x	1.8bn
Workday	10.2bn	12.0%	31.7x	17.3x	0.4bn

Source: StockAnalysis statistics pages, 28 October 2026. Salesforce revenue and operating margin are calculated from company filings (GAAP); peer figures are as presented by the data provider and margins may follow differing definitions. Net debt includes lease obligations for Salesforce on the provider's basis; figures in brackets are net cash.

Valuation against selected application software peers



Source: StockAnalysis, 28 October 2026. Units: multiple of earnings and of trailing EBITDA.

Peers were chosen because they compete with Salesforce for enterprise software budgets, talent and the same chief information officer. SAP is the closest scale comparison and sells enterprise resource planning and customer experience software to the same large buyers; Microsoft and Oracle compete in CRM directly but are excluded from the table because their software is a minor share of far larger and different businesses. ServiceNow competes in service workflows and is positioning as an AI agent platform. Workday competes for human resources and finance workflows and has a comparable seat-based model. Adobe overlaps in marketing and commerce and shows how the market currently prices a seat-and-subscription vendor perceived as an AI loser (9.4 times forward earnings). Smaller and emerging competitors include HubSpot in mid-market CRM and AI-native start-ups building agents that sit on top of customer data. Relative to these peers Salesforce has the second-largest revenue, a GAAP operating margin below SAP and Adobe but above ServiceNow and Workday, and a forward multiple in the lower half of the group.

A5. Competitive Differences

Structural advantages. First, switching costs: customer, pipeline and service history, custom objects, workflows and integrations are accumulated over years, and the USD 66.3bn of remaining performance obligations shows customers commit for multiple years. Second, scale: USD 43.9bn of trailing revenue supports USD 6.4bn a year of trailing research and development and a global sales organization that smaller rivals cannot match. Third, breadth: the portfolio spans sales, service, marketing, commerce, integration and analytics, and the Informatica acquisition adds enterprise data management, which supports the argument that AI agents need governed customer data. Fourth, cash generation of USD 15.2bn trailing free cash flow gives the capacity to acquire and to invest through a cycle.

Temporary advantages and disadvantages. The early lead in packaged AI agents (Agentforce annual recurring revenue above USD 1.5bn, up 240%) is temporary because model providers and rivals can ship agents quickly. Disadvantages include slower organic growth than in the past (revenue growth of 8.7% in fiscal 2025 versus 18.3% in fiscal 2023), a high sales and marketing burden (34.5% of revenue), limited pricing power in a crowded category, and a balance sheet that is no longer net cash.

MOAT ASSESSMENT: MODERATE TO STRONG

> The moat rests on switching costs and data entrenchment, which are structural and evidenced by growth and gross margin (77.7%) holding through a decade of competition. It is not rated Very Strong because organic growth has slowed to about 8%, operating margins on a GAAP basis remain about 20%, and AI agents threaten the per-seat pricing unit that supports the franchise.

A6. Industry Trend

Enterprise application software has grown at a steady pace but the structural debate has moved to whether AI agents expand or shrink software spending. Salesforce's own numbers show both sides: reported revenue growth accelerated to 11% in the second quarter of fiscal 2027 but about 3 points came from Informatica, so organic growth was roughly 8%, in line with fiscal 2026. Current remaining performance obligations grew 14% in constant currency, which supports near-term demand. Agentforce and Data 360 combined annual recurring revenue reached nearly USD 3.9bn, up more than 210%, equal to about 8% of trailing revenue.

The structural trends are the move from per-seat to consumption pricing, consolidation of data platforms and heavy vendor mergers and acquisitions. The temporary conditions are the investor sell-off in software shares earlier in 2026, which pushed Salesforce stock down about 36% from its 52-week high by late May, and the reversal after results in August. A reversal of the favourable trend could come from enterprise budget cuts, customers developing agents directly on foundation models, or regulation of data use. The industry is best described as mature and consolidating, with a transformation risk rather than a collapse in demand.

A7. Management

EXECUTIVE TEAM

Name	Position	Background
Marc Benioff	Chair, Chief Executive Officer and Co-Founder	Co-founded Salesforce; leads strategy and the AI agent repositioning; ownership stake not retrieved.
Robin Washington	President and Chief Operating and Financial Officer	Combined operating and finance role; oversees capital allocation, including the debt-funded buyback.
Miguel Milano	President and Chief Operating Officer	Operational leadership across regions and functions.
Alexa Vignone	President and Chief Revenue Officer	Responsible for the global sales organization.
Rohan Kumar	President and Chief Platform and Engineering Officer	Leads platform and engineering.
Parker Harris	Co-Founder, Advisor to the CEO	Co-founder and long-time technology lead; now advisory.

Source: Salesforce leadership page, October 2026. Detailed biographies and insider ownership were not retrieved.

Capital allocation under this team has been aggressive and shareholder-oriented, but with rising risk. Since fiscal 2023 the company has repurchased USD 4.0bn, USD 7.6bn, USD 7.8bn and USD 12.6bn of stock in fiscal 2023 to 2026, then USD 27.3bn in the first half of fiscal 2027 including a USD 25bn accelerated repurchase funded by USD 25bn of new notes. The board authorized USD 50bn in February 2026 and a dividend was introduced in fiscal 2025 (USD 1.5bn paid in fiscal 2025 and USD 1.6bn in fiscal 2026). Mr Benioff described the company as very under-leveraged on the February call. This is consistent with shareholder interests only if the shares are repurchased below intrinsic value: an accelerated program executed in one block fixes the price paid, and the stock subsequently traded as low as USD 151 on 18 June 2026 and as high as USD 264 in the prior twelve months, so timing was neutral to unfavourable for the early part of the program. A multi-year record on guidance accuracy was not retrieved. Acquisition discipline is mixed: USD 9.3bn was spent on acquisitions in fiscal 2026 and goodwill rose to USD 59.3bn. Restructuring costs of USD 586m in fiscal 2026 and USD 174m in the first half of fiscal 2027 are recurring rather than one-off.

B. Evaluation

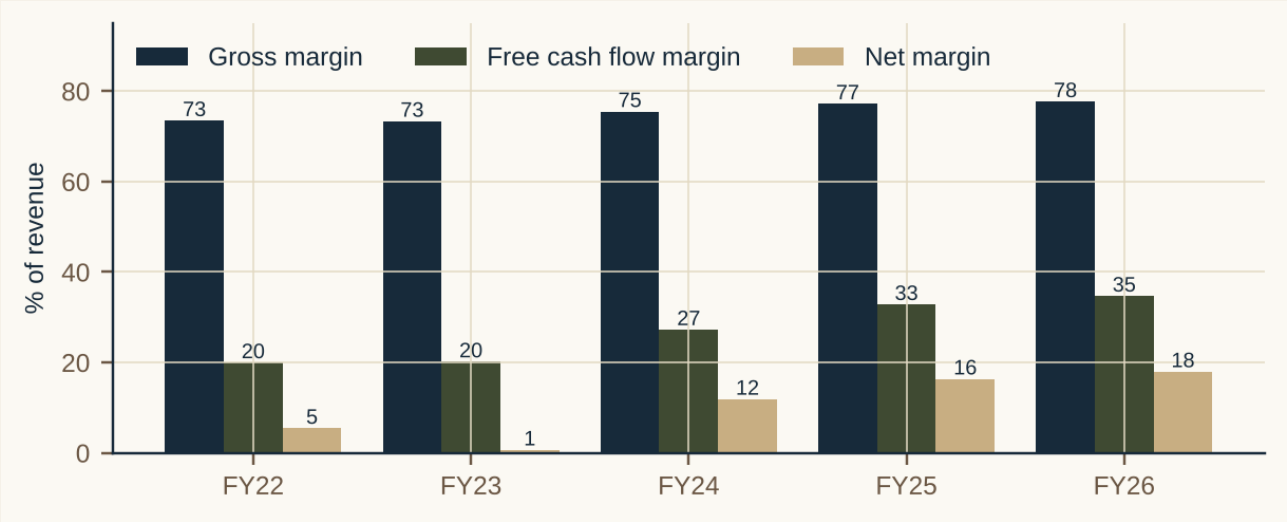
B1. Financial and Operating Metrics

PROFITABILITY AND RETURNS, FISCAL YEARS ENDING 31 JANUARY

Metric	FY22	FY23	FY24	FY25	FY26
Gross margin	73.5%	73.3%	75.5%	77.2%	77.7%
GAAP operating margin	1.2%	3.3%	19.1%	19.0%	20.1%
Net margin	5.5%	0.7%	11.9%	16.4%	18.0%
Free cash flow margin	19.9%	20.1%	27.2%	32.8%	34.7%
Diluted EPS (USD)	1.48	0.21	4.20	6.36	7.80
Return on equity	N/A	N/A	N/A	N/A	12.4%

Source: Salesforce earnings releases and annual reports (fiscal 2025 and 2026), StockAnalysis annual statements (revenue, gross profit, net income, free cash flow, EPS). Margins are calculated from reported figures. Fiscal 2022 to 2024 GAAP operating income is taken from the annual reports. Return on equity is net income over average equity for fiscal 2026 (USD 7,457m over USD 60,158m); the data provider reports 19.4% trailing on the smaller post-buyback equity base.

Gross, free cash flow and net margins, fiscal 2022 to fiscal 2026



Source: Salesforce reports and StockAnalysis annual statements. Units: percent of revenue.

Growth. Revenue compounded at 11.9% a year from USD 26.5bn in fiscal 2022 to USD 41.5bn in fiscal 2026, with growth decelerating from 18.3% in fiscal 2023 to 8.7% in fiscal 2025 before 9.6% in fiscal 2026, helped by Informatica from November 2025. Free cash flow compounded at 28.5% a year (USD 5.3bn to USD 14.4bn) and operating cash flow at 25.7%. EPS compounded from USD 1.48 to USD 7.80, but the base year was depressed by restructuring and the figure should not be read as business growth: part of the gain is share count reduction and strategic investment gains of USD 1.0bn in fiscal 2026. Organic revenue growth is not reported directly; subtracting the Informatica contribution of about 3 points from guided fiscal 2027 growth of 11 to 12% suggests roughly 8%, which is an estimate.

Efficiency. Asset turnover was 0.39 times in fiscal 2026 (revenue over average total assets of USD 107.6bn), low because goodwill and intangibles are 58% of assets. Inventory is not meaningful for a software vendor. Receivables turnover is highly seasonal because invoices are issued in the fourth quarter: accounts receivable were USD 14.3bn at January 2026 and USD 6.3bn at July 2026. Cash conversion is strong: operating cash flow was 2.0 times net income and free cash flow 1.9 times.

Leverage. At 31 July 2026 total debt was USD 39.3bn, 3.1 times trailing EBITDA of USD 12.7bn (GAAP operating income of USD 8.7bn plus depreciation and amortization of USD 3.9bn), and net debt of USD 27.9bn was 2.2 times. At 31 January 2026 the equivalent figures were 1.2 and 0.4 times. Interest coverage (trailing operating income over trailing interest expense of USD 1.0bn) is 8.9 times, but on the second quarter run rate of USD 473m interest a quarter it is about 4.6 times.

Cash flow. Capital expenditure is 1.4% of revenue, so free cash flow is almost equal to operating cash flow. Stock-based compensation of USD 3.5bn (8.5% of revenue) is added back in operating cash flow; after deducting it, fiscal 2026 free cash flow was USD 10.9bn, a 26.3% margin. Trailing free cash flow yield on the current equity value is 7.6% (USD 15.15bn over USD 198.3bn).

Return on invested capital is reported by the data provider at 11.0% trailing, which is above a typical cost of capital of 9 to 10% but well below return on equity, because debt-funded buybacks have shrunk equity from USD 59.1bn to USD 38.4bn in six months. Return on equity therefore overstates business quality.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	AI-driven seat compression and pricing	Medium	High	Agents could reduce the number of paid users per customer faster than agent revenue (USD 1.5bn annual recurring revenue) replaces it.
2	Leverage and refinancing	Medium	High	Debt of USD 39.3bn, interest of about USD 1.9bn a year; free cash flow growth guided to only 4 to 5% in fiscal 2027.
3	Acquisition integration and goodwill	Medium	High	Goodwill USD 59.3bn, 54% of assets; Informatica, Contentful and Fin add integration load.
4	Competition from large platforms and AI natives	High	Medium	Microsoft, SAP, ServiceNow, Workday and new entrants contest the same budgets.
5	Valuation and earnings quality	Medium	Medium	GAAP earnings include USD 3.2bn of investment gains; trailing P/E of 22.1 overstates sustainable earnings per share.
6	Stock-based compensation dilution	High	Low	USD 3.5bn a year offsets part of the buyback benefit.
7	Macro and currency	Medium	Low	Enterprise software budgets; about 35% of revenue is outside the Americas.
8	Regulation, privacy and cybersecurity	Low	High	Data protection fines or a major breach would erode trust in a data custodian.

Source: analyst assessment using Salesforce filings. Probability and impact are qualitative.

The three risks most capable of permanently impairing shareholder value are AI-driven seat compression, because it attacks the revenue unit that supports the whole franchise; overpaying for acquisitions, because goodwill of USD 59.3bn equals 1.5 times equity and impairments would hit book value; and balance-sheet stress if growth slows while interest costs stay elevated.

B3. Valuation

At USD 240.89 and 823 million shares outstanding (the data provider’s figure after the accelerated repurchase), market capitalization is USD 198.3bn. Enterprise value is USD 226.1bn on the calculation here: market capitalization plus debt of USD 39.3bn less cash and marketable securities of USD 11.4bn, excluding operating leases of USD 2.5bn and ignoring strategic investments of USD 11.3bn. The data provider reports USD 229.2bn including leases. The shares are valued as follows.

VALUATION MULTIPLES AT USD 240.89, TRAILING TWELVE MONTHS TO 31 JULY 2026

Multiple	Value	Basis
Price to earnings, GAAP	22.1x	Trailing diluted EPS of USD 10.92, including strategic gains
Price to earnings, non-GAAP guidance	14.4x	Fiscal 2027 guidance midpoint of USD 16.69
Price to earnings, GAAP guidance	23.5x	Fiscal 2027 guidance midpoint of USD 10.23
Enterprise value to EBITDA	17.9x	EBITDA of USD 12.7bn (calculated)
Enterprise value to EBIT	25.9x	GAAP operating income of USD 8.7bn
Enterprise value to sales	5.1x	Revenue of USD 43.9bn
Price to free cash flow	13.1x	Free cash flow of USD 15.2bn
Enterprise value to free cash flow	14.9x	As above
Dividend yield	0.73%	Annual dividend of USD 1.76 per share (provider)
PEG ratio	0.93	Provider calculation

Source: calculated from Salesforce Q2 fiscal 2027 and Q4 fiscal 2026 earnings releases; price from Alpha Vantage; PEG, dividend yield and share count from StockAnalysis, 28 October 2026. Trailing figures are fiscal 2026 plus first-half fiscal 2027 less first-half fiscal 2026.

Historical valuation ranges for the company's own multiples were not retrieved, so no claim is made on where today's multiples sit against history. Peer valuation is in section A4: the forward price to earnings of 16.4 times compares with 26.5 for SAP, 34.0 for ServiceNow, 17.3 for Workday and 9.4 for Adobe, so Salesforce is priced as a mature, cash-generative vendor rather than a growth leader. A low multiple is not proof of cheapness: it reflects a decelerating organic growth rate and AI disruption risk, and GAAP earnings per share of USD 10.23 guided for fiscal 2027 are 39% below the non-GAAP figure.

What the price requires. Reading the DCF in section C5 in reverse, USD 241 corresponds to a weighted average cost of capital of about 10.5% with terminal growth near 2.0% on free cash flow after stock compensation, while the base assumptions (8 to 10% growth, margin rising from 28.5% to 30%) produce USD 318. The price therefore requires growth no better than the low end of recent trends and no margin expansion, which appears conservative to reasonable against guidance of 11 to 12% growth in fiscal 2027.

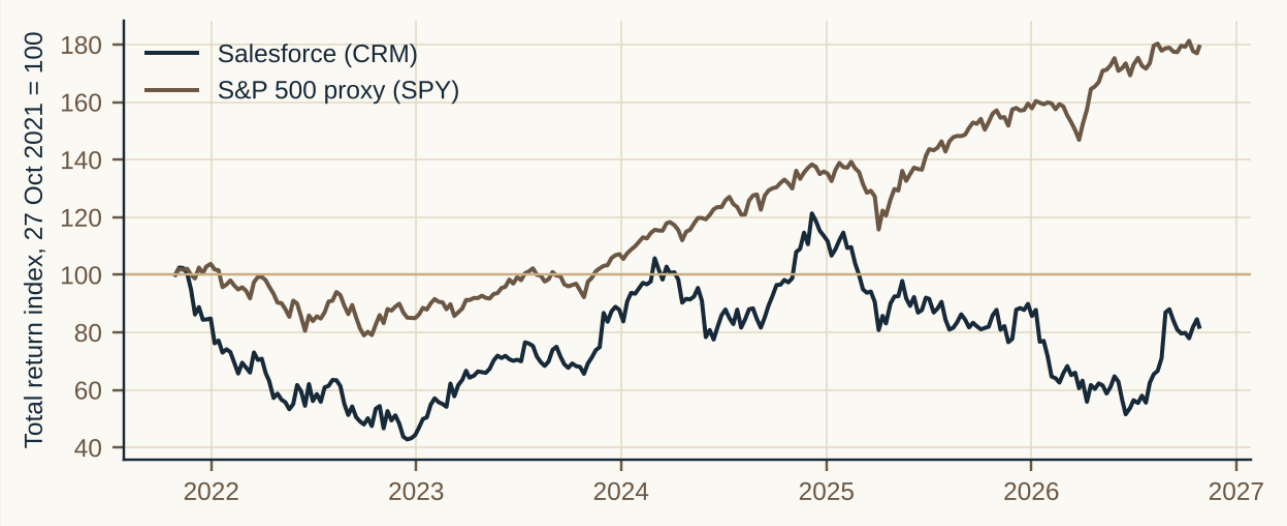
B4. Capital Market and Stock Analysis

PRICE PERFORMANCE TO 27 OCTOBER 2026, TOTAL RETURN INCLUDING DIVIDENDS

Period	Salesforce	S&P 500 proxy (SPY)
1 day	(2.7%)	N/A
1 week	(0.6%)	N/A
1 month	6.0%	N/A
3 months	38.8%	N/A
6 months	35.8%	N/A
Year to date	(8.8%)	12.4%
1 year	(4.7%)	14.9%
3 years	24.9%	94.3%
5 years	(16.1%)	81.6%

Source: Alpha Vantage daily and weekly adjusted price series; one-day to three-month returns from daily closes, others from weekly adjusted closes. Calculated. Brackets denote negative returns.

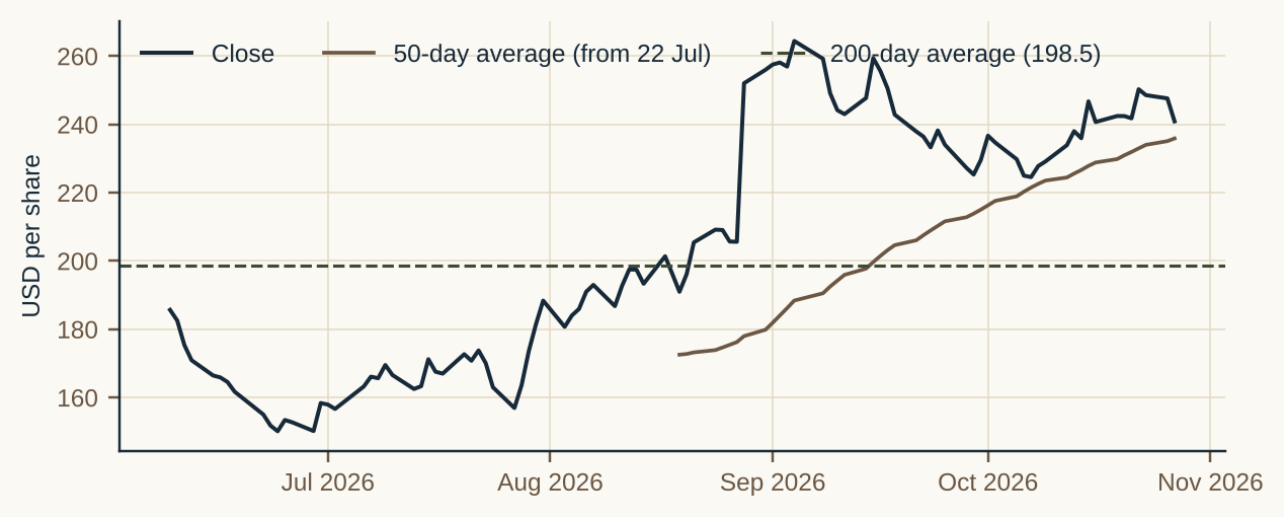
Salesforce against the S&P 500 proxy, five years to 27 October 2026



Source: Alpha Vantage weekly adjusted close, SPY and CRM, rebased to 100 on 27 October 2021. Units: index.

The stock has been a long-run underperformer: a five-year loss of 16.1% against an 81.6% gain for the index. The three-year return of 24.9% is positive but a quarter of the index. The shares peaked near USD 301 in November 2021, fell 58.3% to about USD 126 in December 2022 and have not recovered the high, so the recovery period now exceeds four years. In the last twelve months the shares fell to USD 151.8 on 18 June 2026, then rose 59% to USD 240.89, the main step being a 22.6% gain on 27 August 2026 on volume of 55.5 million shares against a typical 10 to 15 million.

Salesforce price with moving averages, 98 trading days to 27 October 2026



Source: Alpha Vantage daily close; 200-day average from StockAnalysis, 28 October 2026. Units: USD per share. The 50-day average is calculated over the available window.

VOLATILITY AND RISK

Measure	Value	Basis
Annualized volatility, 5 years	38.8%	Weekly returns, calculated
Annualized volatility, 1 year	47.4%	Weekly returns, calculated
Downside volatility, 5 years	22.2%	Weekly negative returns, calculated
Beta versus S&P 500 proxy, 5 years	1.37	Weekly, calculated; provider reports 1.26
Beta versus S&P 500 proxy, 1 year	0.67	Weekly, calculated
Correlation with benchmark, 5 years	0.57	Weekly, calculated
Maximum drawdown, 5 years	(58.3%)	November 2021 to December 2022
Maximum drawdown, 1 year	(42.7%)	Peak December 2025 to June 2026

Source: Alpha Vantage weekly adjusted prices for CRM and SPY to 27 October 2026.

Technical structure. The close of USD 240.89 is above the 50-day average (USD 237.0) and about 21% above the 200-day average (USD 198.5), so the intermediate trend is up, but the stock has been range-bound between about USD 224 and USD 265 since the August breakout, with USD 264 as resistance and USD 224 as support. The relative strength index of 52.5 is neutral and the MACD line (3.7) is above its signal line (3.1), a mild positive. Average true range was not retrieved. These readings describe trading behaviour and are distinct from valuation: a stock can be technically strong and fundamentally expensive, or the reverse. Relative performance against the software sector was not retrieved.

C. Financial Statements

Salesforce reports under US GAAP, with a fiscal year ending 31 January. All figures below are reported unless stated; non-GAAP measures are management adjusted figures that exclude stock compensation and amortization of acquired intangibles and are not treated as superior to GAAP.

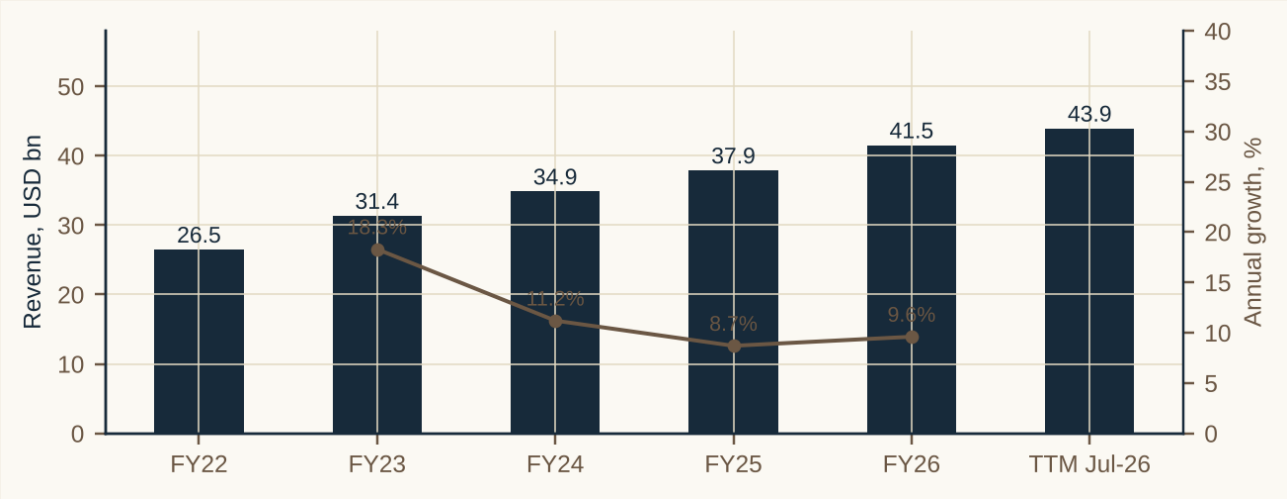
C1. Income Statement

INCOME STATEMENT SUMMARY, USD MILLION

Line	FY25	FY26	1H FY26	1H FY27
Revenue	37,895	41,525	20,065	22,478
Gross profit	29,252	32,255	15,558	17,259
Research and development	5,493	5,993	2,941	3,314
Sales and marketing	13,257	14,345	6,872	7,628
General and administrative	2,836	3,000	1,431	1,465
Restructuring	461	586	40	174
Income from operations	7,205	8,331	4,274	4,678
Interest expense	N/A	N/A	135	790
Gains (losses) on strategic investments	(121)	1,017	(57)	3,171
Provision for income taxes	1,241	2,063	952	1,640
Net income	6,197	7,457	3,428	5,633
Diluted EPS (USD)	6.36	7.80	3.55	6.67
Diluted shares (million)	974	956	966	845

Source: Salesforce Q4 fiscal 2026 and Q2 fiscal 2027 earnings releases. 1H denotes the six months ended 31 July. Interest expense for the full years was not reported as a separate line in the releases retrieved.

Revenue and annual growth, fiscal 2022 to trailing twelve months to July 2026



Source: StockAnalysis annual statements; Salesforce Q2 fiscal 2027 release for trailing figure. Units: USD billion; growth in percent. Trailing revenue is USD 43.9bn, 5.8% above fiscal 2026.

Revenue drivers. Fiscal 2026 growth of USD 3.6bn was spread across offerings: Platform, Slack and other grew 22.6% (including USD 0.4bn from Informatica), Integration and Analytics 7.9%, Service 8.4%, Sales 8.5% and Marketing and Commerce 2.8%. By region Americas grew 8.2%, Europe 12.7% and Asia Pacific 11.8%. The release does not split growth into volume, price and mix; the currency effect is small (second quarter subscription and support growth was 12% reported and 11% in constant currency). The main non-organic driver is Informatica.

Margins. Gross margin expanded from 77.2% to 77.7% in fiscal 2026 but contracted in the first half of fiscal 2027 to 76.8% (17,259 over 22,478) from 77.5% a year earlier, as subscription cost of revenue rose 22% on Informatica amortization and infrastructure. GAAP operating margin was 20.1% in fiscal 2026 and 20.8% in the first half of fiscal 2027 (4,678 over 22,478); the second quarter margin was 20.5%. Operating leverage is real but modest: revenue grew 9.6% in fiscal 2026 and income from operations 15.6%, driven by sales and marketing falling from 35.0% to 34.5% of revenue. Net income is flattered by strategic investment gains of USD 3.2bn in the first half of fiscal 2027, which should not recur at this size, and by a tax rate that rose to 22.5%.

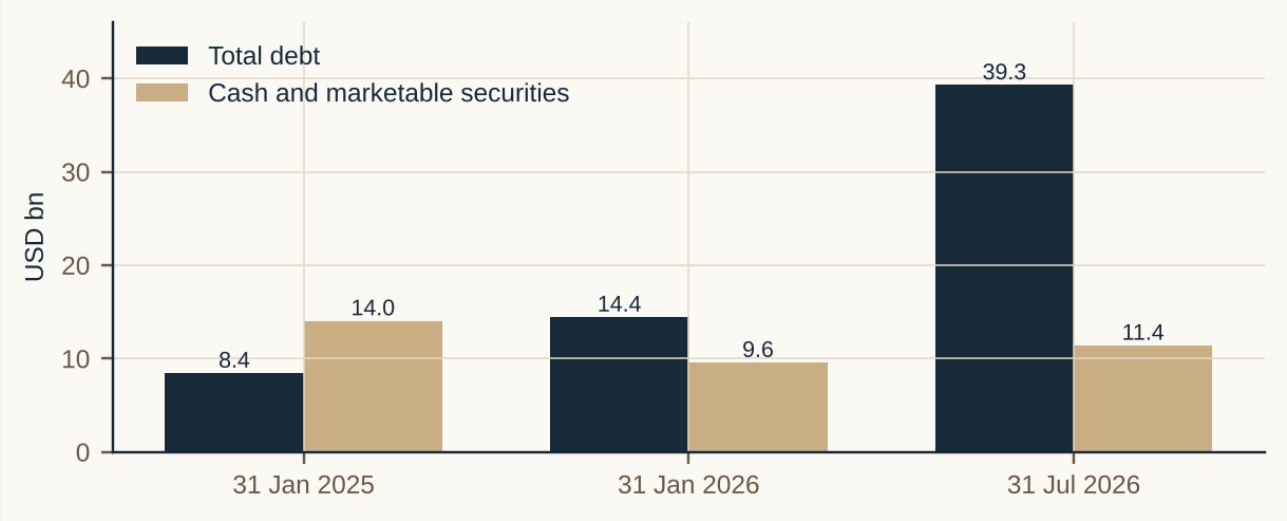
C2. Balance Sheet

BALANCE SHEET SUMMARY, USD MILLION

Line	31 Jan 2025	31 Jan 2026	31 Jul 2026
Cash and equivalents	8,848	7,327	8,310
Marketable securities	5,184	2,238	3,093
Accounts receivable	11,945	14,339	6,320
Property and equipment	3,236	3,120	3,042
Strategic investments	4,852	7,591	11,324
Goodwill	51,283	57,941	59,250
Intangible assets	4,428	6,815	6,142
Total assets	102,928	112,305	109,620
Unearned revenue	20,743	24,317	18,787
Total debt	8,433	14,439	39,288
Total liabilities	41,755	53,163	71,242
Treasury stock	(19,507)	(32,228)	(55,022)
Total stockholders' equity	61,173	59,142	38,378

Source: Salesforce Q4 fiscal 2026 and Q2 fiscal 2027 earnings releases. Total debt is current plus noncurrent debt.

Total debt against cash and marketable securities



Source: Salesforce earnings releases. Units: USD billion. Cash comprises cash and equivalents plus marketable securities.

The balance sheet changed materially in the first half of fiscal 2027: debt rose by USD 24.9bn, treasury stock increased by USD 22.8bn, and equity fell 35.1% to USD 38.4bn. Net debt (excluding leases and strategic investments) moved from USD 4.9bn at January 2026 to USD 27.9bn. The current ratio is 0.84 (22,083 over 26,336) because unearned revenue of USD 18.8bn is a current liability settled by service delivery rather than cash. The equity ratio is 35%. Goodwill and intangibles total USD 65.4bn, 170% of equity, so a tangible equity base is negative. Red flags: leverage, goodwill concentration, and strategic investments equal to 29.5% of equity whose value is volatile. Not red flags: receivables fall seasonally from USD 14.3bn to USD 6.3bn as annual billings are collected, and unearned revenue falls for the same reason. Refinancing requirements by maturity were not retrieved. Operating lease liabilities are USD 2.5bn and are the only material off-balance-sheet-style obligation identified.

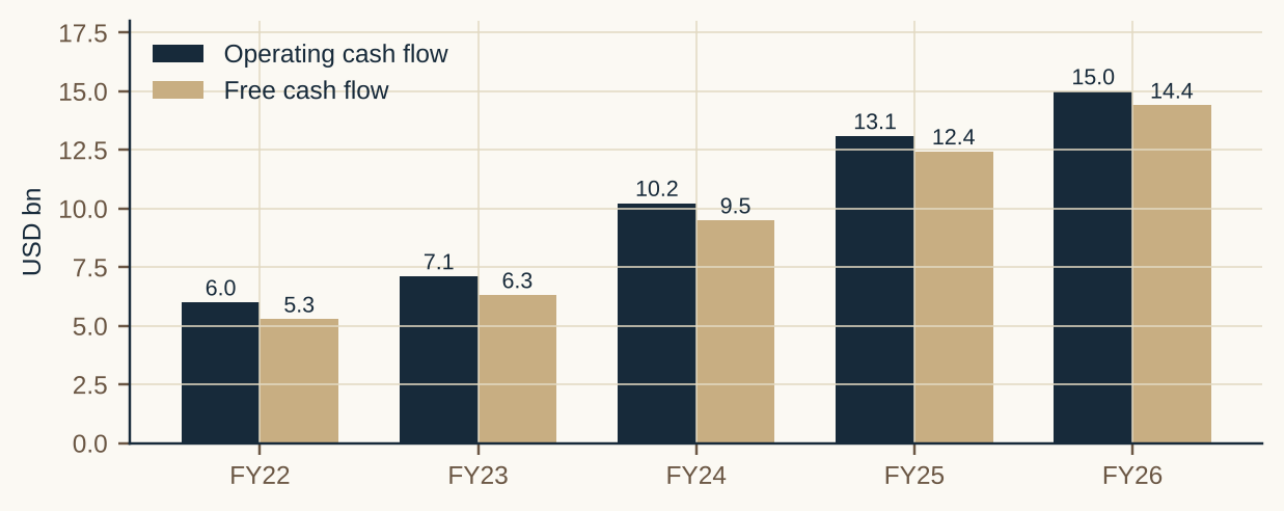
C3. Cash Flow Statement

CASH FLOW SUMMARY, USD MILLION

Line	FY25	FY26	1H FY26	1H FY27
Operating cash flow	13,092	14,996	7,216	7,970
Capital expenditure	(658)	(594)	(314)	(316)
Free cash flow	12,434	14,402	6,902	7,654
Acquisitions, net of cash	(2,734)	(9,268)	(54)	(1,504)
Share repurchases	(7,829)	(12,596)	(4,858)	(27,332)
Dividends	(1,537)	(1,587)	(801)	(729)
Debt issued	0	6,000	0	24,842
Debt repaid	(1,000)	0	0	0
Stock-based compensation (non-cash)	3,183	3,509	1,607	1,763

Source: Salesforce Q4 fiscal 2026 and Q2 fiscal 2027 earnings releases. Free cash flow is operating cash flow less capital expenditure (calculated, matches company non-GAAP figure). The data provider shows fiscal 2026 repurchases of USD 12,947m versus USD 12,596m in the cash flow statement; the filed statement is used.

Operating and free cash flow, fiscal 2022 to fiscal 2026



Source: StockAnalysis annual cash flow statements, Salesforce earnings releases. Units: USD billion.

Free cash flow grew 15.8% in fiscal 2026 and 10.9% in the first half of fiscal 2027, but full-year growth is guided to only 4 to 5%, because roughly five points are lost to interest on the new debt. Net income and cash generation diverge in three ways: net income in the first half of fiscal 2027 (USD 5.6bn) includes USD 3.2bn of non-cash investment gains that are deducted in operating cash flow; operating cash flow benefits from USD 1.8bn of non-cash stock compensation; and annual billing makes the first and fourth quarters the strongest cash quarters. Over a full year, operating cash flow is about twice net income. Working capital is a source of cash in growth years as unearned revenue builds (USD 2.9bn in fiscal 2026). Capital expenditure appears to be mostly maintenance and data centre related and is guided at about 1.5% of revenue.

C4. Forecasting and Projections

The forecast starts from management guidance for fiscal 2027: revenue of USD 46.1bn to USD 46.4bn (11 to 12% growth, of which about 3 points is Informatica and USD 0.2bn is Contentful and Fin), GAAP operating margin of 20.1%, non-GAAP margin of 34.3%, free cash flow growth of 4 to 5%, capital expenditure of about 1.5% of revenue, and a diluted share count of 838 million. Revenue after fiscal 2027 is modelled to decelerate from 10.0% to 8.0% as the acquisition contribution rolls off and organic growth stays near 8 to 9%. Margins are modelled on free cash flow after stock compensation: 28.5% in fiscal 2027 rising to 30.0% by fiscal 2031 on operating leverage in sales and marketing and lower interest cost as debt is repaid. Working

capital and capex are held at their fiscal 2026 intensities (capex 1.4 to 1.5% of revenue; unearned revenue growing with billings). Maintenance versus growth capex is not disclosed.

SCENARIO ASSUMPTIONS AND OUTPUTS, FISCAL 2027 TO FISCAL 2032

Item	Bear	Base	Bull
Revenue growth, fiscal 2028	7.0%	10.0%	11.5%
Revenue growth, fiscal 2032	4.0%	8.0%	9.5%
Revenue, fiscal 2032 (USD bn)	59.9	71.2	76.2
FCF after SBC margin, fiscal 2032	23.0%	30.0%	33.0%
FCF after SBC, fiscal 2032 (USD bn)	13.8	21.3	25.1
WACC	10.5%	9.5%	9.0%
Terminal growth	2.5%	3.0%	3.5%
Value per share (USD)	165	318	440

Source: analyst model based on Salesforce guidance and reported results. Estimates and assumptions, not forecasts of the share price.

Sensitivity. A change of four percentage points in the after-compensation free cash flow margin moves the base value per share between USD 271 and USD 365; a three point change in annual growth moves it between USD 279 and USD 362. Every one point of WACC changes value by about USD 45 to USD 50 per share.

C5. Discounted Cash Flow (DCF) Model

Assumptions. Revenue: USD 46.25bn in fiscal 2027 (guidance midpoint), then 10.0, 9.5, 9.0, 8.5 and 8.0% growth to USD 71.2bn in fiscal 2032. Free cash flow is defined as operating cash flow less capital expenditure less stock-based compensation, at 28.5% of revenue in fiscal 2027 and 29.0, 29.5, 30.0, 30.0 and 30.0% thereafter (fiscal 2026 actual: 26.3%). Taxes are embedded in operating cash flow (effective rate 21.7% in fiscal 2026). Capital expenditure is 1.5% of revenue. Working capital is assumed neutral to slightly positive. Discount rate: risk-free rate 4.3%, equity risk premium 5.0% and beta 1.26 give a cost of equity of 10.6%; with 17% debt weight at a 3.9% after-tax cost, weighted average cost of capital is about 9.5% (all assumptions). Terminal growth 3.0%. Discounting starts from 28 October 2026 with the remaining fiscal 2027 cash flow treated as a full year at a quarter-year offset (simplification). The sum of present values of fiscal 2027 to 2032 free cash flow is USD 79.7bn; terminal value is USD 338.3bn (USD 210.0bn in present value, 72% of the total); enterprise value is USD 289.8bn. Net debt of USD 27.9bn (excluding leases and ignoring the USD 11.3bn of strategic investments, which would add about USD 14 per share before tax) gives equity value of USD 261.9bn and, over 823 million shares, USD 318 per share. Share count uses the provider’s current figure; the fiscal 2027 guided diluted count of 838 million (on weighted average) would reduce value per share by about 2%.

The model result is presented as a range, not a precise value. The sensitivity table shows a range of about USD 245 to USD 407 for plausible WACC and terminal growth, while the bear case is USD 165 and the bull case USD 440. The current price of USD 241 is at the lower edge.

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE, USD

WACC	2.0%	2.5%	3.0%	3.5%	4.0%
8.5%	331	354	382	415	456
9.0%	305	324	347	375	407
9.5%	282	299	318	341	368
10.0%	262	277	293	312	334
10.5%	245	257	271	288	306

Source: analyst DCF model; assumptions stated above.

C6. Leveraged Buyout (LBO) Model

Not applicable. An enterprise value of about USD 226bn is far beyond the scale of any financial sponsor transaction, and a sponsor-style capital structure would require leverage that the existing debt load already approaches.

D. Investment Thesis

Bull Case

Organic growth re-accelerates to 10 to 11% as Agentforce and Data 360 (nearly USD 3.9bn of annual recurring revenue, up over 210%) scale and pricing shifts from seats to consumption. Free cash flow after compensation margins rise to 33% as sales and marketing intensity falls, interest costs decline with debt repayment, and Informatica cross-sell lifts data revenue. Buybacks continue to reduce the share count (down 14.7% in a year to 821 million) and the market gives credit for platform durability, pushing the valuation toward the USD 440 per share bull case, which equals about 1.8 times the current price.

Bear Case

Agents replace human users faster than they create new revenue, so seat counts fall and organic growth slows to 4 to 5%. Competition from Microsoft, SAP and AI-native vendors compresses pricing; integration costs and restructuring hold margins down at 23% after compensation; debt service of about USD 1.9bn a year limits flexibility; a downturn in credit markets constrains refinancing; and the multiple contracts to the level of other perceived AI losers (Adobe at 9.4 times forward earnings). That scenario produces about USD 165 per share, close to the June 2026 closing low of USD 151.8.

Base Case

Revenue grows 11 to 12% in fiscal 2027 (about 8 percent organic) and 8 to 10% thereafter, GAAP operating margin stays near 20 to 21%, after-compensation free cash flow margins edge up from 26% to 30%, and net debt falls slowly as free cash flow of USD 15 to 21bn funds modest buybacks. This gives a DCF value near USD 318, with a plausible range of USD 245 to USD 407.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
Final settlement of the USD 25bn accelerated repurchase	October 2026	Determines the final number of shares retired and the effective price paid.
Third quarter fiscal 2027 results	Early December 2026 (date not confirmed)	Tests the guidance of 11 to 12% growth and cRPO growth of about 14% in constant currency.
Closing of Contentful and Fin	Third quarter fiscal 2027	Adds about USD 200m of revenue and extends AI and content capabilities.
Fiscal 2028 guidance	Early 2027	First guidance without the debt-funded buyback headwind of about five points to free cash flow growth.
Agentforce disclosure updates	Quarterly	Annual recurring revenue above USD 1.5bn; sustained triple-digit growth would support the platform narrative.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Current RPO growth	Leading indicator of subscription revenue	Above 14% constant currency	Below 11%
Organic revenue growth	Measures the core business excluding acquisitions	Above 9%	Below 7%
Free cash flow after stock compensation	Core earnings power	Above 27% of revenue	Below 24%
Net debt to EBITDA	Balance-sheet risk after the buyback	Below 1.8x within a year	Above 2.5x
Agentforce annual recurring revenue	Evidence AI agents add revenue rather than replace seats	Growth above 150%	Growth below 80%
Goodwill impairment or large new acquisition	Capital discipline	No impairment, bolt-ons only	Impairment or large cash deal

E. Final Investment Framework

BUSINESS QUALITY	High. Recurring subscription revenue with a 77.7% gross margin and a USD 66.3bn contracted backlog.
FINANCIAL QUALITY	Good but flattered by stock compensation of 8.5% of revenue and strategic investment gains; after compensation, free cash flow margin is 26%.
COMPETITIVE POSITION	Strong in CRM; moat rated Moderate to Strong; contested in AI agents and data.
MANAGEMENT	Founder-led and shareholder-focused, but the shift to a debt-funded buyback and USD 9.3bn of acquisitions in fiscal 2026 raise the risk profile; insider ownership not retrieved.
INDUSTRY	Mature, consolidating and transforming; growth is steady, the pricing model is in transition.
VALUATION	Undemanding on cash flow (13.1 times) and forward non-GAAP earnings (14.4 times); fair on GAAP earnings (23.5 times). Price sits near the bottom of a USD 245 to USD 407 DCF range.
TECHNICAL AND MARKET STRUCTURE	Uptrend since June with the price above its 50-day and 200-day averages, but range-bound since August; five-year relative performance is deeply negative.
PRINCIPAL RISK	AI-driven seat compression reducing the revenue unit that supports the franchise.
PRINCIPAL CATALYST	Evidence in the next two quarterly reports that cRPO growth of about 14% and Agentforce growth are converting to reported revenue acceleration.
KEY VARIABLE	Organic revenue growth (about 8% today), because it drives revenue, operating leverage and the valuation multiple at once.
THESIS INVALIDATION	The investment thesis would become materially weaker if organic revenue growth falls below 6% for two consecutive quarters, current remaining performance obligation growth drops below 10% in constant currency, net debt to EBITDA exceeds 2.5 times without a repayment plan, or a goodwill impairment above USD 5bn is recorded.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market capitalization	USD 198.3bn	N/A	N/A
Market	Enterprise value	USD 226.1bn	N/A	N/A
Market	Share price	USD 240.89	USD 252.64	3Y +24.9%; 5Y (16.1%)
Growth	Revenue growth	9.6% (FY26)	8.7% (FY25)	4Y CAGR 11.9%
Profitability	Gross margin	77.7%	77.2%	73.5% (FY22)
Profitability	Operating margin (GAAP)	20.1%	19.0%	1.2% (FY22)
Profitability	Net margin	18.0%	16.4%	5.5% (FY22)
Profitability	ROE	12.4% (FY26)	N/A	N/A
Profitability	ROIC	11.0% (provider)	N/A	N/A
Cash flow	Operating cash flow	USD 15.0bn	USD 13.1bn	4Y CAGR 25.7%
Cash flow	Free cash flow	USD 14.4bn	USD 12.4bn	4Y CAGR 28.5%
Leverage	Net debt / EBITDA	2.2x (Jul 2026)	0.4x (Jan 2026)	Rising
Valuation	P/E (GAAP, trailing)	22.1x	N/A	N/A
Valuation	EV/EBITDA	17.9x	N/A	N/A
Valuation	P/FCF	13.1x	N/A	N/A
Market	Beta	1.26 (provider)	N/A	5Y calc. 1.37
Market	Volatility (annualized)	38.8% (5Y)	47.4% (1Y)	3Y 38.0%
Market	Maximum drawdown	(58.3%) (5Y)	(42.7%) (1Y)	Nov 2021 to Dec 2022

Source: sections B and C of this report. Prior-year share price is the adjusted close on 27 October 2025.

G. Sources and Methodology

Data cross-check

Company figures were taken from Salesforce earnings releases and cross-checked against StockAnalysis annual statements. Revenue, net income, EPS and free cash flow agreed for fiscal 2024 to 2026. The data provider's operating income (USD 8,917m for fiscal 2026) differs from the GAAP figure in the company release (USD 8,331m) because the provider excludes restructuring of USD 586m; the company figure is used. The provider's fiscal 2026 repurchases (USD 12,947m) differ from the company cash flow statement (USD 12,596m); the company figure is used. Enterprise value differs between the provider (USD 229.2bn, includes leases) and this report (USD 226.1bn). Market data use a single provider for price and a second for share count and multiples; the closing price of USD 240.89 on 27 October 2026 is consistent with the provider's market capitalization.

Source list

Primary Sources

Salesforce, Inc., Salesforce Delivers Record Second Quarter Fiscal 2027 Results (earnings release with financial statements). August 2026. https://s205.q4cdn.com/626266368/files/doc_financials/2027/q2/CRM-Q2-FY27-Earnings-Press-Release.pdf. Information obtained: Quarterly and six-month income statement, balance sheet, cash flow, guidance, Agentforce metrics, share counts

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Secondary Sources

Fortune, Salesforce turbocharges 25 billion stock buying spree with debt, cuts cash flow guidance in half. 27 May 2026. https://www.fortune.com/2026/05/27/salesforce-turbocharges-25-billion-stock-buying-spree-with-debt-cuts-cash-flow-guidance-in-half/. Information obtained: Accelerated repurchase and debt funding context, management remarks

StockAnalysis, Salesforce annual income statement and cash flow statement. 28 October 2026. https://stockanalysis.com/stocks/crm/financials/. Information obtained: Five-year revenue, gross profit, net income, EPS, free cash flow

StockAnalysis, Salesforce statistics. 28 October 2026. https://stockanalysis.com/stocks/crm/statistics/. Information obtained: Market capitalization, enterprise value, multiples, beta, moving averages, RSI

StockAnalysis, ServiceNow, Workday, Adobe and SAP statistics. 28 October 2026. https://stockanalysis.com/stocks/now/statistics/. Information obtained: Peer revenue, margins, multiples, net debt

Market Data

Alpha Vantage, Daily and weekly adjusted time series for CRM and SPY. 27 October 2026. https://www.alphavantage.co/documentation/. Information obtained: Closing prices, volume, returns, volatility, beta, drawdown

Calculations

Calculated by the analyst from the sources above: trailing twelve-month revenue, operating income, EBITDA and free cash flow (fiscal 2026 plus first half of fiscal 2027 less first half of fiscal 2026); net debt, enterprise value and valuation multiples; margins and growth rates; return on equity; interest coverage; price returns, volatility, beta, correlation, drawdown, RSI and MACD; and the DCF and scenario model. DCF cost of capital inputs (risk-free rate, equity risk premium) are analyst assumptions.

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